

EURO AREA CRISIS OF 2009-12

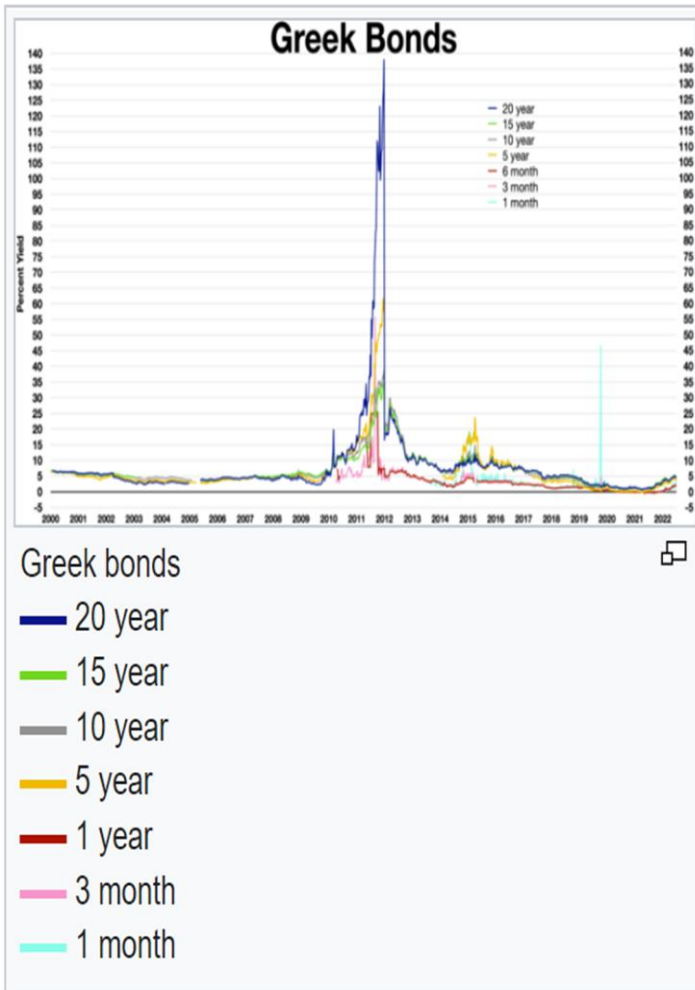
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What was the Euro area Crisis of 2009-12?

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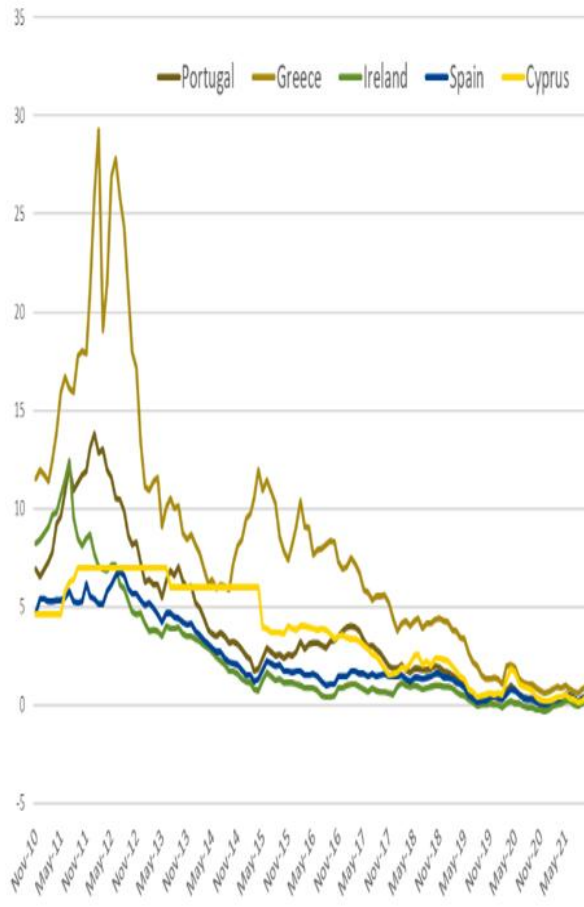


- The Euro area crisis, also known as the Eurozone (EZ) crisis was a multi-year debt crisis that started in 2009 and lingered till 2012.
- The crisis first manifested in Greece but then engulfed several countries in euro area, especially Cyprus and other PIGS (Portugal, Italy, Greece and Spain) countries as they were unable to refinance their public debt and faced sovereign defaults. The acronym soon changed from PIGS to PIIGS after Ireland joined the grouping of EZ countries facing sovereign debt problems.
- These countries faced BOP crisis with sudden stop of capital inflows, but the root of the crisis lay in a **“diabolic loop”, also called the “doom loop”, between sovereign debt and bank debt with bank bailouts leading to unsustainable public debt.**

What was the Euro area Crisis of 2009-12?

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10-year bond yields (%) as of 07/12/2021



- Greece crisis opened up two possibilities – (i) **Greece being taken out of euro area in an orderly fashion**; (ii) **Greece being bailed out through financial support**. The latter was chosen as EU feared that Greece exiting euro area could cause contagion that will result in a collapse of euro.
- Greece received three EU/ESM)–IMF bailout packages that were worked out by the the "Troika" (European Commission, European Central Bank, and IMF).
- **First Bailout (2010):** A €110 billion package. Ireland and Portugal received EU-IMF bailouts In November 2010 and May 2011, respectively. In March 2012, Greece received its second bailout. Both Spain and Cyprus received rescue packages in June 2012 and banks were bailed out in March 2013.
- **Second Bailout (2012):** A €130 billion package backed by an IMF Extended Fund Facility (EFF) and private bondholder debt restructuring ("haircut"). In March 2012, Greece received its second bailout. Both Spain and Cyprus received rescue packages in June 2012 and some banks were bailed out in March 2013.
- **Third Bailout (2015):** Up to €86 billion provided through the European Stability Mechanism (ESM) after intense political negotiations.

How did the EU and the ECB respond to the Euro area Crisis of 2019-12?

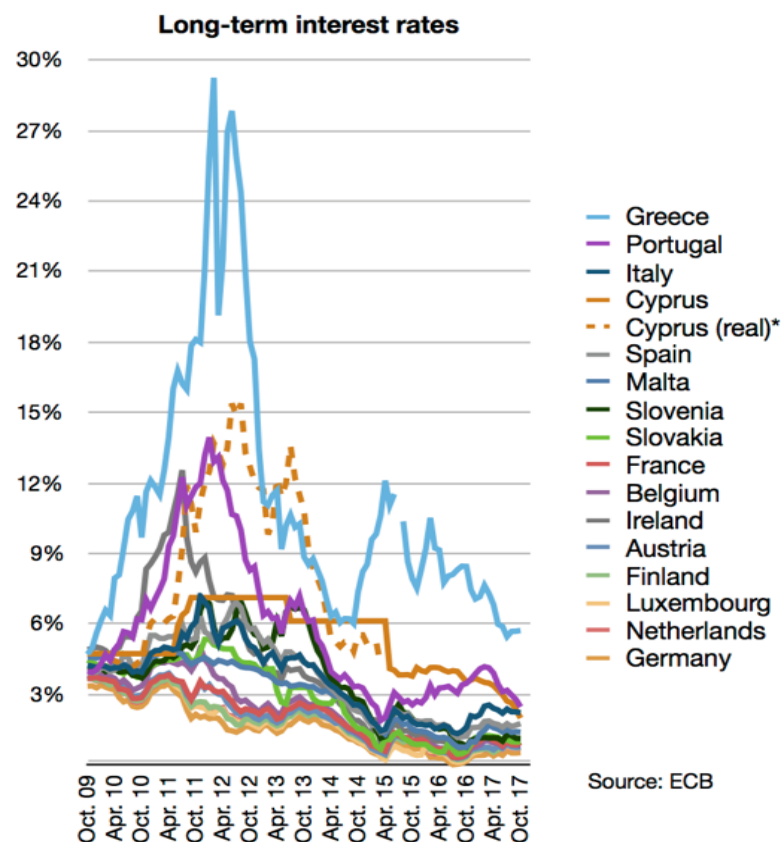
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- EZ crisis manifested itself as a BOP crisis due to sudden stop of capital flows to the Southern periphery countries, but had its roots in bank bailouts
- **EZ crisis had a major political impact on the ruling governments and in 10 out of 19 EZ countries there was a power shift** (in Greece, Ireland, France, Italy, Portugal, Spain, Slovenia, Slovakia, Belgium, and the Netherlands; as also in the UK which was outside the EZ).
- **A European Financial Stability Facility (ESFS)** was also created in June 2010 as a temporary fiscal backstop and it lent support to Ireland, Portugal & Greece through ESFS bonds and other debt instruments. In September 2012, the **ESFS was converted into a permanent Regional Financial Arrangement (RFA) called the European Stability Mechanism (ESM)** - a facility with € 750 bn in firepower and disbursed loans of €295 bn.
- The bailouts by Troika have been criticized for excessive austerity measures that generated a lot of pain on the streets of Greece (see LHS pic) The current status about the Greece bailouts is that: (i) Greece exited its final official European bailout program in August 2018 and continues to repay its remaining European loans ahead of schedule; (ii) It has also fully repaying its roughly €28 billion in total debt owed to the IMF ahead of schedule in April 2022 to lower borrowing costs.

What is the European Stability Mechanism (ESM)?

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* actual market trade values without cut-off yield for Cyprus government bond maturing 3 February 2020

- ESM is the Regional Financing Arrangement (RFA) with the biggest firepower in the world. It is an international financial institution created in 2012 by the euro area member states to provide financial assistance to member countries in financial distress as an additional layer of Global Financial safety Net (GFSN), complementing IMF lending. ESM has been coordinating with IMF on bailouts.
- The ESM evolved from the European Financial Stability Facility (EFSF) that was set up as a temporary solution in June 2010 and granted assistance to three countries – Ireland, Portugal & Greece. The EFSF still exists as a legal entity but can no longer grant new loans.
- ESM, the successor to EFSF, was created with a subscribed capital of €704.8 billion (has only €80 bn in paid up capital) and a lending firepower capacity of €500 bn. It grants assistance only when it is deemed necessary to protect the financial stability of the euro area and its member states and is provided under strict conditionality. Total lending by ESM/ESFS has been €295 bn so far

What is the European Stability Mechanism (ESM)?

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- It also operates as the euro area's crisis resolution mechanism, offering loans and new capital to banks to safeguard the financial stability of the entire euro area. As such, ESM also acts as a backstop for the Single resolution Fund, which is designed as a supranational emergency fund for resolution and restructuring of failing banks that may have systemic implications.
- The ESM is headquartered in Luxembourg and is financed by capital from its member states, making it a self-sustaining institution that does not rely on EU taxpayer money for lending.
- Currently ESM has a total lending capacity of €500 billion. Available Funds are approximately €422-433 billion that remains available for new financial assistance. Outstanding loans are around €74.2 billion in active loans are currently held by some euro area member states, mainly some new debt to Greece besides Spain, and Cyprus who also have borrowed. Spain is projected to complete its final loan repayment by 2027

How did the EU and the ECB respond to the Euro area Crisis of 2019-12?

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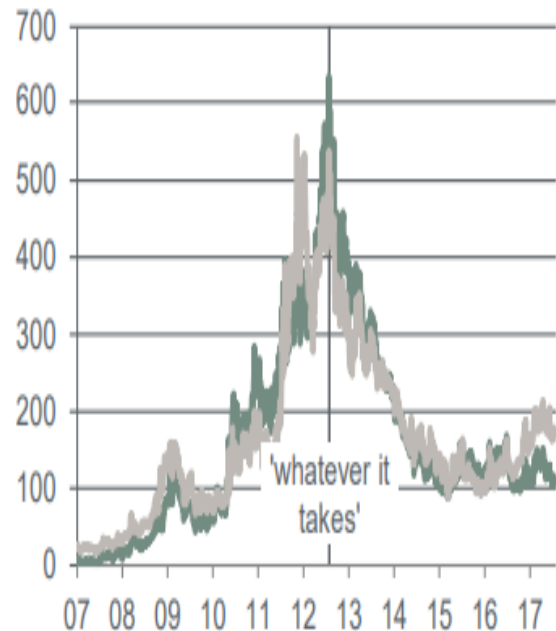


- **ECB in Dec. 2011 introduced 3-year LTROs** with a view to reduce obstacles to credit supply through the mitigation of liquidity and funding risks. They were non-standard monetary policy measures launched in Dec 2011 and March 2012 to inject massive liquidity, stabilize interbank lending markets, and ease debt pressures on peripheral EZ governments. They were done on fixed-rate tender procedures tied to main policy rate with full allotment lasting 36 months, featuring early repayment options after 1-year. one year.
- **In June 2014, ECB started TLTROs** under which banks borrowed from ECB linked to their loans to non-financial corporations and households). Three rounds announced on 5-Jun-14, 10-Mar-16 & 7-Mar-19. TLTRO-III was a series of 10 TLTROs, each with a maturity of three years, starting in Sept. 2019 at a quarterly frequency. Borrowing rates in these operations were allowed to be as low as 50 basis points below the average interest rate on the deposit facility over the period from 24 June 2020 to 23 June 2022 and, if applicable, as low as the average interest rate on the deposit facility during the rest of the life of the same operation. So they started at a favourable rate of -1% (when deposit facility rate was -0.5%) and increasingly lower interest rates linked to larger bank lending was extended into COVID-19 with 10 rounds conducted till Dec. 2021.

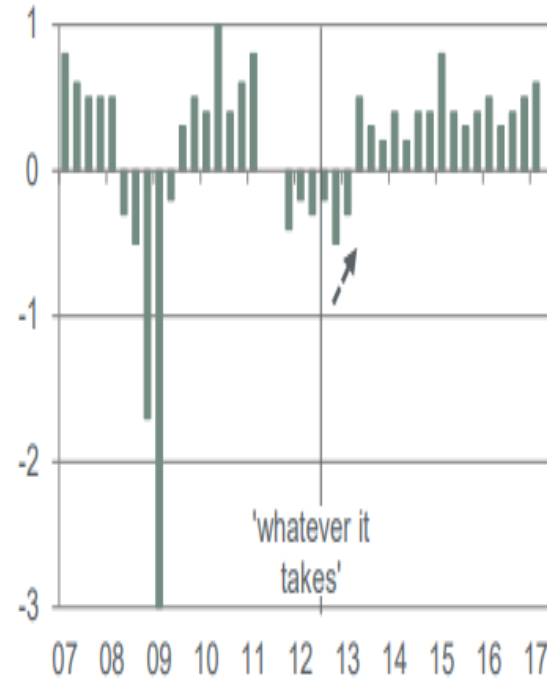
Draghi's three words that changed the course of the Euro area

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Yield spreads on 10-year Spanish and Italian government bonds in relation to German government bonds (in basis points)



Rate of change of seasonally adjusted real euro area GDP on previous quarter (in per cent)



- On 26th July 2012, the President of the European Central Bank (ECB), Mario Draghi, delivered a short speech (remarks) at a Global Investment Conference in London that brought the crucial turnaround in the euro crisis. He said, "Within our mandate, the ECB is ready to do **whatever it takes** to preserve the euro. And believe me, it will be enough."
- This was a unique forward guidance that changed the course of the EZ crisis. Financial markets responded immediately. Spreads on the government bonds of peripheral countries dropped back from over 500 bps levels to a manageable 100-200 bps levels (see leftmost chart), This as per some estimates may have saved well over €200 bn in funding costs to euro area countries. Equity markets also recovered and euro recovered from the large earlier depreciation. Business confidence improved and so helped bring an end to recession in euro area (see left side second chart).
- But the effects to real sector were not seamless and led to increase in cash, leverage & lending to zombie firms

ECB's OMT efforts in place of QE

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- On 12th Aug 2012, the ECB Governing Council announced it will make outright secondary market transactions in sovereign bonds aimed "at safeguarding an appropriate monetary policy transmission and the singleness of the monetary policy". On 6th September 2012, the ECB announced the OMT framework with (with Bundesbank President, Jens Wideman sole dissent vote). The framework for providing ECB buying 1-3 year govt bonds of EZ country) on four conditions:
 - The country should have received macroeconomic financial support from the EZ's bailout funds EFSF/ESM or precautionary conditioned credit lines. (Spain having received it for bank recapitalization did not qualify).
 - The country should have signed MOU on conditionalities (not under review for program compliance) attached to the EFSF/ESM for sovereign support at the time of OMT purchases. The MOU stated country agreeing to certain domestic economy measures (conditionality).
 - OMT purchases can be started when the state has managed to regain complete access to private lending markets, judged by successful issuance of a new government 10-year bond.
 - OMT purchases will be done after ECB assesses above pre-conditions being met, finds that the market traded yields for the government bonds are distressed (higher compared to what can be justified by the fundamental macro of the country).
- OMT was to be fully sterilized. By the end-2014, only Portugal and Ireland qualified to receive OMT support and though Greece & Cyprus were desperate for support, not having market access even in 2015. OMT was never actually used.
- OMT support was challenged in German Federal Constitutional Court by members of the German Bundestag but the European Court of Justice ruled that it does not contravene the prohibition of monetary financing of EU nations

Timeline of Events of Sovereign Debt Crisis in Greece...(1)

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2009

- **October 4, 2009:** The Centre-left PASOK wins the Greek legislative elections with 43.92%.
- **October 20, 2009:** The Bank of Greece announces that government accounts are much worse than previously reported.
- **October 22, 2009:** Greece's credit ratings started to be downgraded by all the credit rating organizations.

2010

- **February 9, 2010:** The first austerity package is passed by the Greek parliament.
- **March 3, 2010:** The second austerity package is passed by the Greek parliament.
- **April 23, 2010:** Greek borrowing costs rise to unsustainable levels. Prime Minister George Papandreou formally requests an international bailout for Greece. The European Union (EU), European Central Bank (ECB) and International Monetary Fund (IMF) agree to participate in the bailout.
- **May 2, 2010:** The IMF, Greek Prime Minister Papandreou, and other eurozone leaders agree to the first bailout package for €110 billion over 3 years.
- **May 6, 2010:** The third austerity package is passed by the Greek parliament.

2011

- **June 29, 2011:** The fourth austerity package is passed by the Greek parliament.
- **August 8, 2011:** The Athens Stock Exchange general index falls below 1000 points, its lowest level since January 1997.
- **October 20, 2011:** The fifth austerity package is passed by the Greek parliament.
- **October 27, 2011:** The investors agree to a "haircut" of 50% in converting their existing bonds into new loans.
- **November 6, 2011:** Prime Minister Papandreou resigns.
- **November 10, 2011:** Lucas Papademos becomes the new Greek Prime Minister, as the leader of a coalition government consisting of the PASOK, New Democracy, and LAOS parties.

Timeline of Events of 2009 Sovereign Debt Crisis in Greece...(2)

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2012

- **February 12, 2012:** The sixth austerity package is passed by the Greek parliament.
- **February 21, 2012:** The second bailout package is finalized. It brings the total amount of eurozone and IMF bailouts to €246 billion by 2016.
- **March 2012:** Private sector debt restructuring.
- **March 13, 2012:** Second adjustment programme for Greece is agreed, to be provided by the EFSF and IMF.
- **May 6, 2012:** Elections are held. The New Democracy party wins. The governing PASOK party collapses.
- **May 16, 2012:** No coalition government can be formed, so Panagiotis Pikramenos assumes the position of caretaker Prime Minister. An early election is called for 17 June.
- **May 25, 2012:** The Athens Stock Exchange general index falls below 500 points.
- **June 17, 2012:** Early elections are held. The New Democracy party leads, winning 29.7% of the popular vote, but does not win most seats in parliament. Four days later, a coalition government is formed between New Democracy, PASOK and DIMAR. Antonis Samaras, the president of New Democracy, becomes the new Prime Minister.
- **November 7, 2012:** The seventh austerity package is adopted by the Greek parliament.
- **November 27, 2012:** Eurogroup agrees series of debt relief measures for Greece.

2014

- **April 10, 2014:** Greece returns to financial markets, raising €3 billion through a 5-year bond issue.
- **May 25, 2014:** SYRIZA wins the European Parliament election.
- **December 8, 2014:** Parliament begins attempts to elect a new president to replace outgoing Karolos Papoulias, whose 5-year presidential term was due to end in February.
- **December 9, 2014:** Athens Stock Exchange falls 12.78%, its largest single-day decline since 1989.

Timeline of Events of 2009 Sovereign Debt Crisis in Greece...(3)

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2015

- **January 25, 2015:** The Greek legislative election is held. SYRIZA wins for the first time ever in Greece, as a left party.
- **January 26, 2015:** SYRIZA and the Independent Greeks join to form a new coalition government. Alexis Tsipras is sworn in as the new Prime Minister.
- **February 20, 2015:** The Eurogroup brokers an agreement between Greece and the eurozone for a 4-month loan extension.
- **June 27, 2015:** Prime Minister Tsipras announces a referendum on a bailout agreement, to be held on July 5, 2015.
- **June 28, 2015:** Tsipras announces that Greek banks will remain closed for a while; he also announces the imposition of capital controls (€60/day withdrawal limit; most foreign transfers banned).
- **June 30, 2015:** EFSF programme for Greece expires. Greece misses a payment on an IMF loan and falls into arrears (Missed payments to the IMF are not considered formal defaults by the major credit rating agencies).
- **July 1-3, 2015:** 1,000 bank branches open to allow pensioners to withdraw €120 for the week.
- **July 5, 2015:** The Greek bailout referendum is held. Over 61% vote against the proposed measures by the Commission, the ECB, and the IMF.
- **July 6, 2015:** Greece extends its bank holiday and capital controls through July 8.
- **July 13, 2015:** Greece and European creditors strike deal for €86 billion bailout over 3 years.
- **July 17, 2015:** ESM Board of Governors approves the decision to grant, in principle, stability support to Greece. This allows negotiations on policy conditionality to start.
- **July 20, 2015:** Greek banks open again, but capital controls remain.
- **August 3, 2015:** The Greek Stock Exchange reopened after being closed since 25 June and fell more than 16% with bank stocks losing an average of 30% in a single day's trading.
- **August 14, 2015:** Greek parliament approves the package of measures for the third bailout package.
- **August 19, 2015:** ESM Board of Governors approves ESM programme for Greece.
- **August 20, 2015:** The prime minister Alexis Tsipras resigns and proclaims elections for 20 September.
- **August 27, 2015:** Vasiliki Thanou was sworn as caretaker prime minister until 20 September election.
- **September 20, 2015:** The Greek legislative election is held. SYRIZA wins with 7.5 point over New Democracy.

Timeline of Events of 2009 Sovereign Debt Crisis in Greece...(4)

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2016

- **February 8, 2016:** The Athens Stock Exchange general index falls below 500 units for second time after June 2012.
- **June 24, 2016:** Brexit affects the Greek Stock Market. The general index falls 13.42%.

2017

- **January 23, 2017:** ESM and EFSF approve short-term debt relief measures for Greece.
- **July 25, 2017:** Greece returns to bond market, after 3 years.

2018

- **June 22, 2018:** Eurogroup commends Greece on completion of all prior actions of final programme review; Eurogroup also agrees medium-term debt relief measures.
- **August 20, 2018:** Greece concludes 3-year ESM programme.

Lessons from the Euro Area Crisis

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- Managing sovereign debt risks is important and AEs should not be lulled into complacency that it is a risk only EMDEs face
- Avert diabolic loops of sovereign and bank debt
- Monetary Unions require certain conditions to work seamlessly.
- It is hard to keep monetary union without a fiscal union. Growth & Stability Pact in the EU was weakly observed
- The crisis exposed the fragility of a monetary union without a unified banking system. Divergences between Eurozone countries persisted due to a lack of common supervision and resolution mechanisms
- Forward guidance can be a powerful tool in a crisis
- Legal frameworks for maintaining financial stability & crisis resolution should be clearly laid down
- Regional Financial Arrangements (RFAs) may be needed to supplement other layers of Global Financial Safety Net (GFSN)